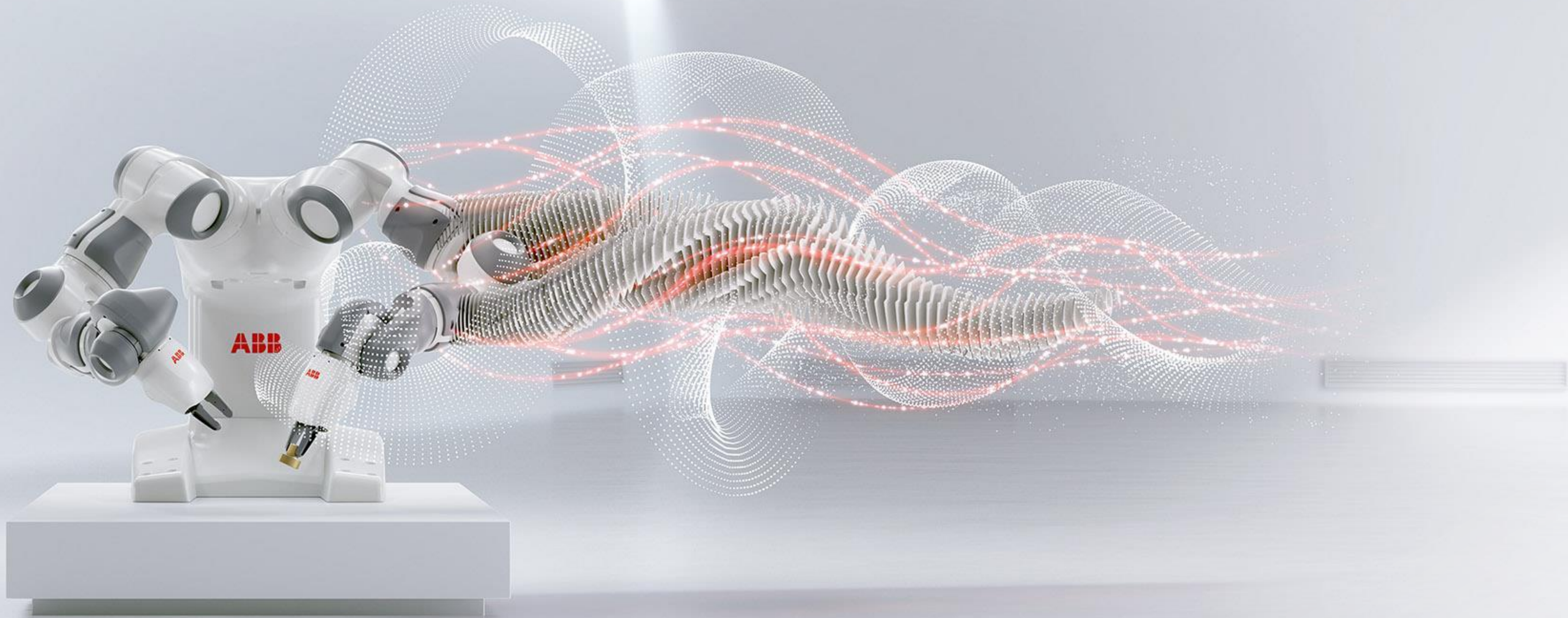




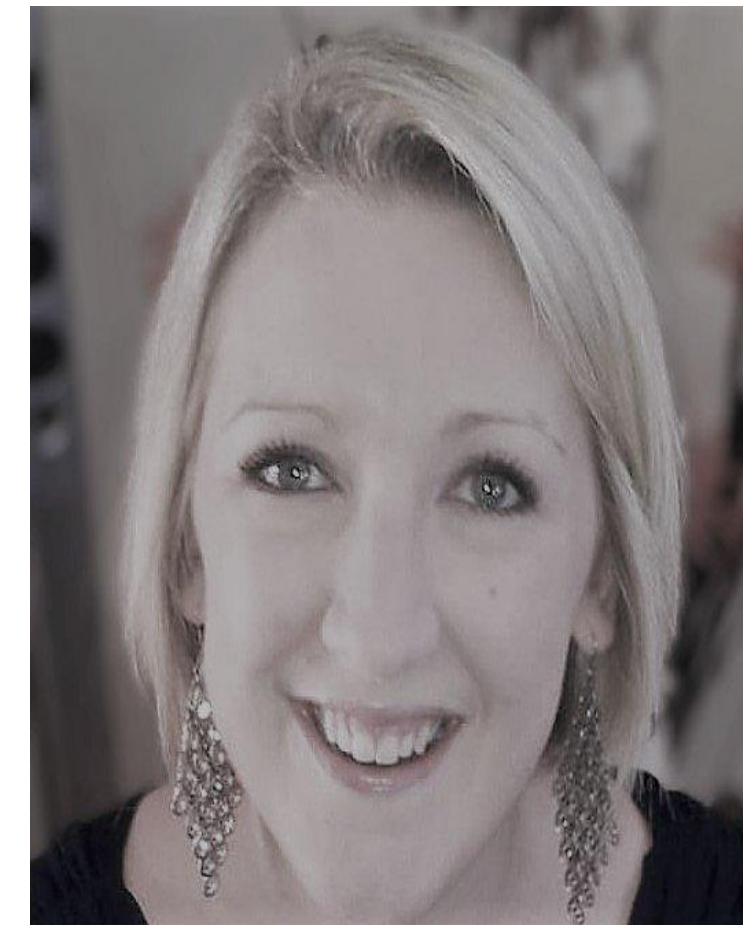
SAP

Risk & Opportunity Assessment Report | H1 2026

--- Publisher Team



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Agenda

ENGAGEMENT OVERVIEW

EXECUTIVE SUMMARY

RECOMMENDATIONS

NEXT STEPS

APPENDIX

Engagement Scope



SCOPE:

The scope of SAP per the Statement of Work SAP manual data collection. It has been agreed to deliver annual ELPs for SAP products. In-scope activities include:

- Continuous Service Delivery for in-scope workstreams.
- Effective License Position (ELP) and Risk & Opportunity Assessment Report (ROAR) delivery.
- Risk & Opportunity tracking in Elevate based on ROAR recommendations.
- Audit support.

DATA SOURCES:

Out of 300 documents provided by ABB, 231 were applicable to the ELP.

Consumption data analysis has been performed using SAP's standard audit methodologies required by SAP as a part of the license audit:

- SAP USMM Program Measurement of 97 production & 89 development ABAP system (95% of coverage) with SAP LAW system consolidation resulting in the measurement of 113 engines, 417 SAP Developers, various users incorrectly classified as well as user licensing indicators. 51 systems are maintained by ABB as measurement relevant on the SAP for Me, yet there have not been measured.
- SAP Annual Report 2025 for The Employee Based Frame Agreement.
- SAP HANA Enterprise Studio/Cockpit measurement of 11 production systems.
- 53 self declared products/engines with an enterprise and customer license metric. ABB confirmed no usage for 6 SAP self declared product, usage for 39 SAP self declared product, and for 8 SAP self declared product no feedback in relation to consumption was shared by ABB.
- SAP BusinessObjects – LMBI measurement data from 12 servers (out of 18 potential SAP BOBJ systems maintained in SAP for Me) and self declared for the products with customer-based metric.
- SAP Cloud Product data – SAP for Me dashboard resulting in usage data for 38 products, 0 consumption for 25 products, and missing consumption for 101 products.

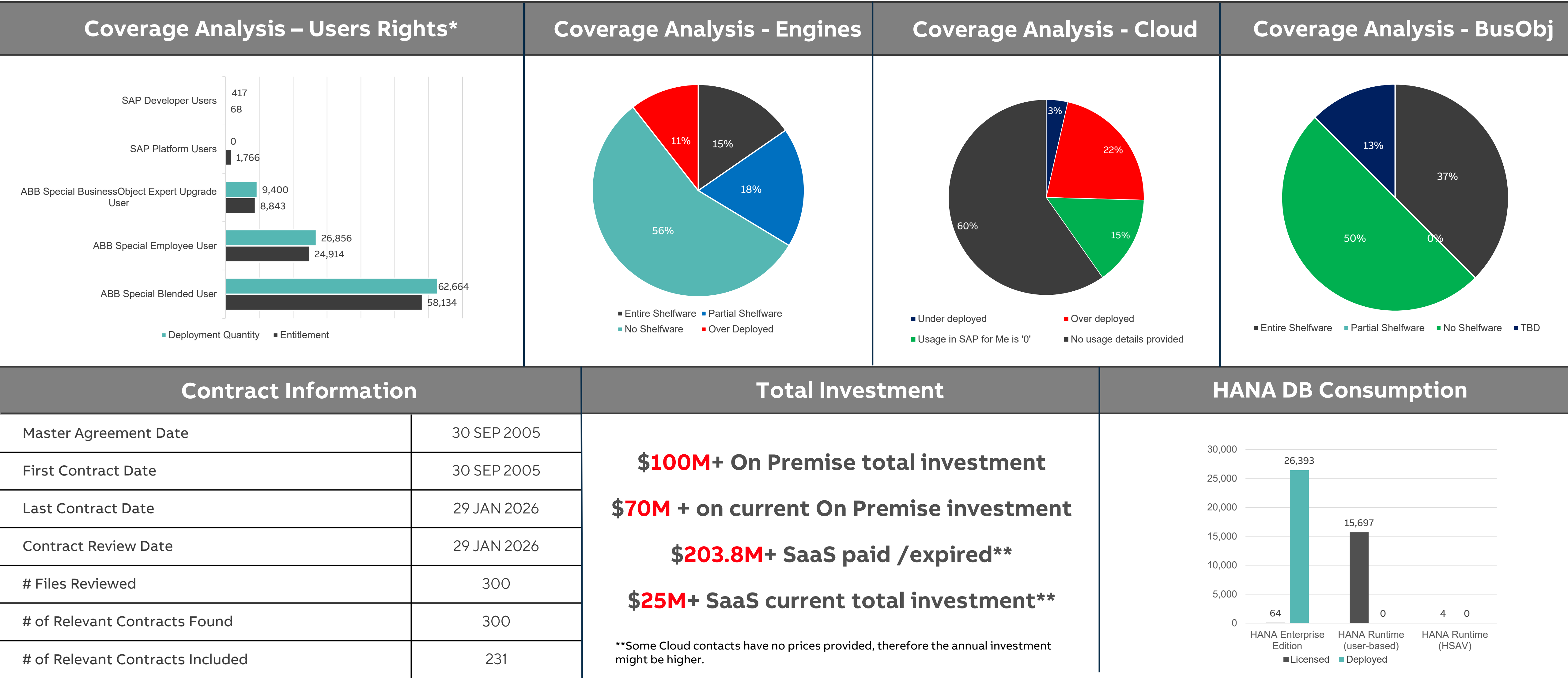
Executive Summary

Publisher On A Page

CATEGORY	RATING		DETAILS
ABB Annual Spend	↑	High	ABB annual spend: - \$10M+ on maintenance fees for On Premise licenses - \$25 M+ on current Cloud subscriptions. - \$2.5M+ on Service Contracts
Financial Risk	↑	High	Majority of the financial risk can be addressed by: - Manual verification of the engines - Negotiation of the license swap with the products identified on the shelfware. - Performing SAP User Profiling Project and implementation of recommendations, targeting SAP Developer Users.
Risk of Audit	↑	High	On 31 st of September 2024, ABB agreed a two-year audit freeze with SAP as part of the most recent audit settlement. Accordingly, ABB will be audited by SAP after 31 st of September 2026.
Stakeholder Engagement	↑	High	GVM: Maryia Audzeyeva SAM Manager: Fabio Guizelini

KEY COMPLIANCE ISSUES
• Manual Engine Verification needed to validate compliance risks identified. • SAP Indirect Access usage is unknown. • SAP Employee Based Frame Agreement is vague and costly to ABB. SAP User Profiling is recommended to reduce costs when migrating to S/4HANA. This includes verification of overused SAP Developer users and validation of measured user indicators. • Number of the same products are licensed under multiple metrics or licensing models. As a result, a clear license compliance position cannot be established. While SAP may attempt to calculate compliance, ABB may lack clarity on which product covers which functionality.
CONTRACT STRUCTURE
• ABB’s SAP contract structure is hybrid, combining on-premise (perpetual/NUP and engines) entitlements with SAP Cloud (SaaS subscriptions), so compliance must be assessed across both deployment types. For named users, a portion of the user population is governed by the 2011 Employee-Based Frame Agreement (employee-count based, excluding development), while other users (e.g., additional named-user categories and cloud users) remain covered under separate on-prem and SaaS contractual terms.

ABB SAP Estate Snapshot Slide



*Blended Users license coverage is assessed in accordance with ABB Employees Based Frame Agreement. Other user types are assessed as per SAP standard methodology.

Compliance Risks in SAP Licensing and Usage at ABB

SAP compliance poses significant financial risks due to potential misalignments in licensing, engines management and license governance and database usage. Immediate actions and mitigation strategies are essential to avoid these exposures.

IDENTIFIED RISK & COST AVOIDANCE:

PRIOR ELP FINDINGS		Initial Financial Risk	Potential Cost Avoidance	Remaining Financial Risk
Reference Identified Risk from previous ELP 2025		\$18M + \$3M***	\$1.1M + \$192K***	\$16.9M + \$2.8M***

CURRENT LICENSE COMPLAINT RISK

SAP PRODUCT GROUP		OVER DEPLOYED TOTAL LIST PRICE	TOTAL NET PRICE AFTER 85% AVERAGE HISTORICAL DISCOUNT**	CALCULATED MAINTANANCE BASE	TOTAL RISK
●	SAP User Right I Named Users*	\$5M	\$3M	\$511K	\$3.5M
●	SAP Engines & SAP Self Declared Products	\$105.5M	\$15.8M	\$2.7M	\$18.5M
●	SAP HANA Database	\$7.2M	\$1.1M	\$184K	\$1.3M
●	SAP Cloud	\$3.8M****	-	-	\$3.8M
TOTAL		\$121.4M	\$19.9M	\$3.4M	\$27.1M

Notes:

- * Risk consists of three user types from Employee Based Frame Agreement and SAP Developer Users. Price for the users from Employee Based Frame Agreement was based on the contractual price in 2011 master agreement with no discount. Price for SAP Developer Users was based on the SAP Price List 2025 with discount net fee.
- **ABB has no contractual price protection; therefore, discount level is subject to negotiations with SAP.
- *** Annual maintenance fee.
- ****Annual subscription with no discount available

Risk & Cost Avoidance

SAP User Rights | SAP Named Users

INITIAL RISK:

\$ 3M + \$511K

POTENTIAL COST AVOIDANCE:

TBD*****

REMAINING RISK:

\$ 3M + \$511K

Notes:

Additional purchase proposal was calculated as per SAP process: for products available in the current SAP Price List, the price was used accordingly, for the products no longer available in the current SAP Price List, the price from the SAP Price List from the year of latest purchased was used, respectively.

CURRENT ELP FINDINGS			Initial Financial Risk	Potential Cost Avoidance	Remaining Financial Risk
Product		Actions Needed			
●	ABB Special Blended User - 70%	Contract negotiations with SAP recommended	\$2.2M*	-	\$2.2M
●	ABB Special Employee User - 30%	Contract negotiations with SAP recommended	\$297.9K*	-	\$297.9K*
●	ABB Special BusinessObjects Expert Upgrade User - 15%	Contract negotiations with SAP recommended	\$127.1K*	-	\$127K
●	SAP Developer Users***	Usage verification of measured Developers and non-Developers with development activities captured with the USMM (SAP Developer Note)	\$359.7K**	TBD****	\$359.7K**
Initial Potential Risk: Identified financial impact to ABB as a result of under or incorrectly licensed software, based on the data shared with Anglepoint by ABB to date. Cost Avoidance: Any action that avoids having to incur (non-budgeted) costs in the future. Potential Remaining Risk: Cost(s) that cannot be avoided, after applying Cost Avoidance measures. Pricing Notes: *The contractual price is based on the Employee-Based Frame Agreement signed in 2011. During the last audit negotiations, ABB maintained that it had price protection; however, SAP rejected this claim and attempted to sell additional licenses at significantly higher prices, without providing confirmation via a formal SAP Price List. Ultimately, the net license price was closely aligned with the contractual rate due to applied discounts. Given the large number of indicators captured by the SAP USMM measurement, Anglepoint recommends that ABB transition to the standard user classification, preceded by an SAP User Profiling project **Current SAP Price List. Historical average discount of 85% applied. ***Developer licenses were not formally sold to ABB; 68 were inherited through a business acquisition. ABB assumed the 2011 agreement covered Developer roles, but there's no explicit contractual support. SAP now formally requires all users engaged in development to be classified as Developers. While SAP tolerated technical issues in measuring Developer users, current USMM data shows most systems contain Developer activity—some linked to non-Developer users. ****Cost Avoidance can be established after performing SAP User Profiling Project.			\$3M license net price + \$511K maintenance annually	TBD****	\$3M license net price + \$511K maintenance annually

Risk & Cost Avoidance SAP Engines

INITIAL RISK:

\$15.8M+\$2.7M

POTENTIAL COST AVOIDANCE:

\$905K+\$154K+TBD***

REMAINING RISK:

\$14.9M+\$2.5M+TBD***

Notes:
Historical average discount of 85% has been applied to all risks identified.

Additional purchase proposal was calculated as per SAP process: for products available in the current SAP Price List, the price was used accordingly, for the products no longer available in the current SAP Price List, the price from the SAP Price List from the year of latest purchased was used, respectively.

CURRENT ELP FINDINGS			Initial Financial Risk	Potential Cost Avoidance	Remaining Financial Risk
Product		Actions Needed			
●	SAP Enterprise Master Data Management	Check for the SAP Notes, to be verified via manual engine verification	\$9.1M*	TBD***	\$9.1M*
●	SAP NetWeaver Single Sign-On	To be verified via manual engine verification : activation of SPNego & SNC.	\$1.9M**	TBD***	\$1.9M**
●	SAP Master Data Governance for SAP S/4HANA, suppliers option	Remove measurement from MDG system. Usage confirmed on CM5 system only (282.483)	\$2.5M*	\$865K	\$1.6M
●	SAP NetWeaver Gateway	Check if chargeable scenarios is used vi SAP Gateway / SAP Fiori also for employees that have no SAP end user license	\$762.6K**	TBD***	\$762.6K**
●	SAP NetWeaver Process Orchestration & SAP Exchange Infrastructure	Verified with stakeholder. Licensed in multiple metrics, license harmonization applied.	\$280.2K**+ \$40K	\$40K	\$280.2K**
●	SAP S/4HANA Finance for Group Reporting	To be verified as Public-cloud edition allows consolidation of up to five entities at no extra cost.	\$908.2K*	TBD***	\$908.2K*
●	SAP GRC Process Control	Check for the SAP Notes, to be verified via manual engine verification.	\$417.4K*	TBD***	\$417.4K*
●	User Inventor Integration	Check for the SAP Notes, to be verified via manual engine verification	\$5.9K*	TBD***	\$5.9K*
●	SAP PLM Interface to SolidWorks		\$4.5K*		\$4.5K*
●	SAP PLM Interface to Pro/E & SolidWorks		\$5.6K*		\$5.6K*
Initial Potential Risk: Identified financial impact to ABB as a result of under or incorrectly licensed software, based on the data shared with Anglepoint by ABB to date. Cost Avoidance: Any action that avoids having to incur (non-budgeted) costs in the future . Potential Remaining Risk: Cost(s) that cannot be avoided, after applying Cost Avoidance measures. Pricing Notes: *SAP Price List Q2 2025 **SAP Price List Q3 2024 *** Cost avoidance can be only established after performing SAP Manual Engine Verification Project.			\$15.8M license net price + \$2.7M maintenance annually	\$905K license net price + \$154K maintenance annually	\$14.9M license net price + \$2.5M maintenance annually

Risk & Cost Avoidance SAP HANA Database

INITIAL RISK:

\$ 1.1M + \$184K

POTENTIAL COST AVOIDANCE:

TBD

REMAINING RISK:

\$ 1.1M + \$184K

Notes:
Historical average discount of 85% has been applied to all risks identified.

Additional purchase proposal was calculated as per SAP process: for products available in the current SAP Price List, the price was used accordingly, for the products no longer available in the current SAP Price List, the price from the SAP Price List from the year of latest purchased was used respectively.

CURRENT ELP FINDINGS			Initial Financial Risk	Potential Cost Avoidance	Remaining Financial Risk
Product		Actions Needed			
●	SAP HANA Enterprise Edition***	Measured data provided from 11 servers. (ELP 2025 – 13 servers) . SAP for Me system overview includes 25 potential HANA systems. Verify whether HANA Enterprise measurements were taken in error for systems using Runtime. Once usage scope is determined, to be verified via manual database verification if usage is planned to be reduced in the future.	\$1.1M*	TBD	\$1.1M*
Initial Potential Risk: Identified financial impact to ABB as a result of under or incorrectly licensed software, based on the data shared with Anglepoint by ABB to date. Cost Avoidance: Any action that avoids having to incur (non-budgeted) costs in the future. Potential Remaining Risk: Cost(s) that cannot be avoided, after applying Cost Avoidance measures. Pricing Notes: *SAP Price List Q2 2025 ***Future SAP HANA database requirements are expected to increase significantly, as S/4HANA runs exclusively on HANA and does not support non-SAP databases. Although ABB has licensed SAP HANA Runtime under user-based metrics, as well, consumption data was not provided. Anglepoint recommends verifying actual HANA Runtime usage. SAP HANA Runtime No SAP HANA Runtime consumption data was shared. Measurement of SAP HANA Enterprise include used data whiting SAP layer where SAP HANA Runtime licensing potentially applies. Therefore, it is necessary for ABB to run the HANA Runtime SQL script to establish if 11 measured systems for SAP HANA Enterprise are in fact used beyond SAP layer (integration with non-SAP applications).			\$1.1M license net price + \$184K maintenance annually	-	\$1.1M license net price + \$184K maintenance annually

Risk & Cost Avoidance SAP Cloud Products

INITIAL RISK:

\$ 3.8M annually

POTENTIAL COST AVOIDANCE:

TBD

REMAINING RISK:

\$ 3.8M annually

Notes:
Historical average discount of 85% has been applied to all risks identified.

Additional purchase proposal was calculated as per SAP process: for products available in the current SAP Price List, the price was used accordingly, for the products no longer available in the current SAP Price List, the price from the SAP Price List from the year of latest purchased was used respectively.

CURRENT ELP FINDINGS			Initial Financial Risk	Potential Cost Avoidance	Remaining Financial Risk
Product		Actions Needed			
●	SAP Signavio Process Insights, additional storage	Usage verification required	\$44.9K*	TBD	\$44.9K*
●	SAP Cloud ERP Private, pto	Usage verification required	\$3M*	TBD	\$3M*
●	SAP S/4HANA Cloud for master data governance Cloud, private edition	Usage verification required	\$602.5K*	TBD	\$602.5K*
●	SAP Signavio Process Intelligence	Usage verification required	\$30.5K*	TBD	\$30.5K*
●	SAP CPQ, standard edition	Usage verification required	\$95.1K*	TBD	\$95.1K*
●	SAP Finance and Supply Chain developer	Usage verification required	\$20K*	TBD	\$20K*
Initial Potential Risk: Identified financial impact to ABB as a result of under or incorrectly licensed software, based on the data shared with Anglepoint by ABB to date. Cost Avoidance: Any action that avoids having to incur (non-budgeted) costs in the future. Potential Remaining Risk: Cost(s) that cannot be avoided, after applying Cost Avoidance measures. Pricing Notes: *SAP Price List Q2 2025 The cost of the license is calculation annually			\$3.8M license net price annually	-	\$3.8M license net price annually

Potential Cost Savings – license termination

REALISED COST SAVINGS:

\$ -

POTENTIAL COST SAVINGS:

\$297.3K

Notes:
Termination of unused SAP software (shelfware) results in reduction of the maintenance fee paid annually.

\$1.7M shelfware value identified as not in used entirely- to be confirmed by ABB.

\$2.5M shelfware value (\$451K annual maintenance) identified as not in used partially – a licensing buffer from 15% to 20 % to be added to the license in case of the grow of the application.

IDENTIFIED RISK & COST AVOIDANCE:

CURRENT ELP FINDINGS				Potential Cost Savings Annually
	Product	Target Date	Actions Needed	
●	SAP NetWeaver Application Server, add-on for code vulnerability analysis	TBD	Terminate unused license	\$50K
●	SAP BW/4HANA	TBD	Terminate unused license	\$49.4K
●	SAP Incentives Administration by Vistex	TBD	Terminate unused license	\$47.7K
●	CATIA (V5) Integration	TBD	Terminate unused license	\$34.7K
●	Remaining other 12 products see Appendix for full details	TBD	Terminate unused license	\$115.5K
Potential Cost Savings: Any action that results in a tangible financial benefit that lowers current spending, investment or debt levels. Pricing Notes: Assuming ABB specific pricing where possible, SAP list pricing has been used when no pricing has been provided by ABB to calculate Cost Savings estimate. The actual pricing may vary. Dropping support on products might affect volume discounts offered by SAP.				\$297.3K+

Potential Cost savings in the annual maintenance is based on perpetual licenses. This means that the licenses have no expiry, and ABB is required to pay for the SAP support regardless, whether the licenses are being used, or not.

Products provided here have been identified as not in used entirely.

ABB does not have license termination protection is the contractual agreement. Therefore, termination of unused software must be negotiated with SAP. In order to engage with SAP, termination of the licenses should be conducted along with the purchase of the licenses that ABB needs.

Top Recognition



Stakeholder Engagement & Ownership	Data Quality for USMM/LAW
• A key strength of this ELP cycle was the stakeholder coordination led by Fabio, who managed data collection with system owners, provided clear measurement guidance, and owned the LAW consolidation to align outputs with SAP requirements. Where technical issues occurred, he kept progress on track by raising SAP tickets and coordinating resolution. • Maryia strengthened contract readiness by keeping documentation centralized and audit-aligned in SharePoint, and by working with Anglepoint to verify the SAP Cloud license repository. She also supported escalation to SAP for missing contracts identified during Anglepoint’s review.	• This year’s USMM measurement results show a generally stable level of quality, with 9 production systems identified as measured incorrectly. While this is a higher number than last year (when 4 systems remained incorrect), last year’s ELP also had lower measurement coverage, so this should be viewed as maintaining a similar quality level rather than a clear improvement. • Where errors occurred, they were primarily linked to common USMM configuration issues such as incorrect user classification, engine parameter settings, or missing measurement indicators. Overall, the measurement output remains usable for consolidation, but these incorrect systems still require stakeholder input and correction to reduce residual risk and ensure the final position is fully defensible.



Top Challenges Observed

Over-measured SAP Engines	SAP Named User Administration	Lack of visibility into SAP Indirect Access and missing product data
This year, 11 SAP engines are showing as over-deployed, and 9 of these are the same engines flagged in ELP 2025. Fabio confirmed that the relevant SAP Notes have been implemented in line with the Elevate Remediation Tracker; however, note implementation alone does not prove that the measured consumption is accurate. To validate the overuse position, ABB would need to perform manual engine verification by accessing the relevant engine function modules and extracting detailed usage reports—this is the only reliable way to confirm whether the measured figures reflect actual consumption. Important considerations - Manual Engine Verification is a separate project and is not covered under SAP Managed Service; Anglepoint recommends ABB plans and executes this verification initiative to confirm the compliance position and identify optimization opportunities. - Additionally, 9 production systems were measured incorrectly, which means there may be unidentified engine usage in those systems that was not captured—this could potentially increase the incompliance exposure once corrected measurements are available.	- This year’s user administration results show a high level of inconsistency in user classification and measurement outputs: SAP Developer consumption appears high, while SAP Platform Users are largely not classified, despite their intended use for external consultants. - In addition, many systems still report user types that are not applicable to ABB’s contract—and in several cases are no longer permitted by SAP—which undermines the reliability of the consolidated position. - A key concern is user management: 212,621 users were consolidated, which is not plausible against ABB’s total employee population of ~111,900, suggesting significant duplication, outdated accounts, and/or incorrect classification logic. - Most measurements also show indicators of potential usage-principle violations (e.g., multiple logons, deleted users, development activity performed by non-developers, etc.), which increases audit exposure unless cleaned and justified. - Anglepoint recommended before, and it recommends again ABB to execute a dedicated SAP User Profiling Project to address end-to-end user administration—user cleanup, governance, and correct license classification—and strongly recommends completing this before the S/4HANA migration to avoid carrying forward data quality issues into the new landscape.	- ABB’s indirect access position and several product areas still lack reliable usage visibility because key consumption inputs are missing or cannot be captured automatically, which increases audit and S/4HANA readiness risk. - This year we still have major gaps: 10 self-declared products with no consumption feedback, 3 declarations needing review (incl. 3rd Party App & NetWeaver Full Use), - unclassified SAP Platform Users, - no HANA Runtime measurement, 101 cloud products requiring manual validation, - SAP for Me landscape inconsistencies (51 ABAP systems flagged but not measured; 25 HANA flagged vs 11 measured; 18 BOBJ flagged vs 11 measured)..



Top Recommendations



Perform Manual Engine Verification	Undertake SAP User Profiling	Perform SAP Indirect Access Assessment & Provide Missing Data
• ABB should launch a dedicated Manual Engine Verification project to confirm whether the engines flagged as overused are truly consumed at the measured level and to identify optimization opportunities. This requires extracting detailed usage evidence directly from SAP (engine function modules / detailed usage reports) for overused engines, measurable engines missing from USMM logs, and self-declared products with unclear consumption. • This work is not covered under the SAP Managed Service and should be treated as a separate, scoped initiative with defined access, owners, and a repeatable verification method, followed by lightweight engine governance to prevent recurring overuse.	• Anglepoint recommends ABB runs a dedicated SAP User Profiling Project to improve end-to-end user administration and license compliance by cleaning up user master data, correcting license-relevant user classification (including Platform and Developer users), and resolving usage-principle exceptions. • The project typically covers governance and process improvements across the full lifecycle—user creation, access changes, classification, periodic reviews, expiry/deactivation, and ongoing data maintenance advice—to align with SAP best practices and reduce audit exposure. • This work is not covered under the SAP Managed Service and should be treated as a separate initiative, ideally completed before the S/4HANA migration to avoid carrying forward inaccurate user data and misclassifications into the new landscape.	• ABB should perform a focused SAP Indirect Access Assessment to establish a defensible view of current indirect usage (interfaces, non-SAP applications, integrations, and document creation drivers such as Sales/Service Orders) and to confirm whether the legacy indirect licensing position still aligns with actual consumption. SAP Indirect Access project is separate project, not covered by current SAP Managed Service. • ABB should execute a structured missing-data remediation and reconcile gaps between SAP for Me and measurement scope to improve completeness and audit readiness.

Original October 2024 Draft ABB SAP Roadmap

Time is running out to action all activities to optimally prepare to move to SAP Cloud

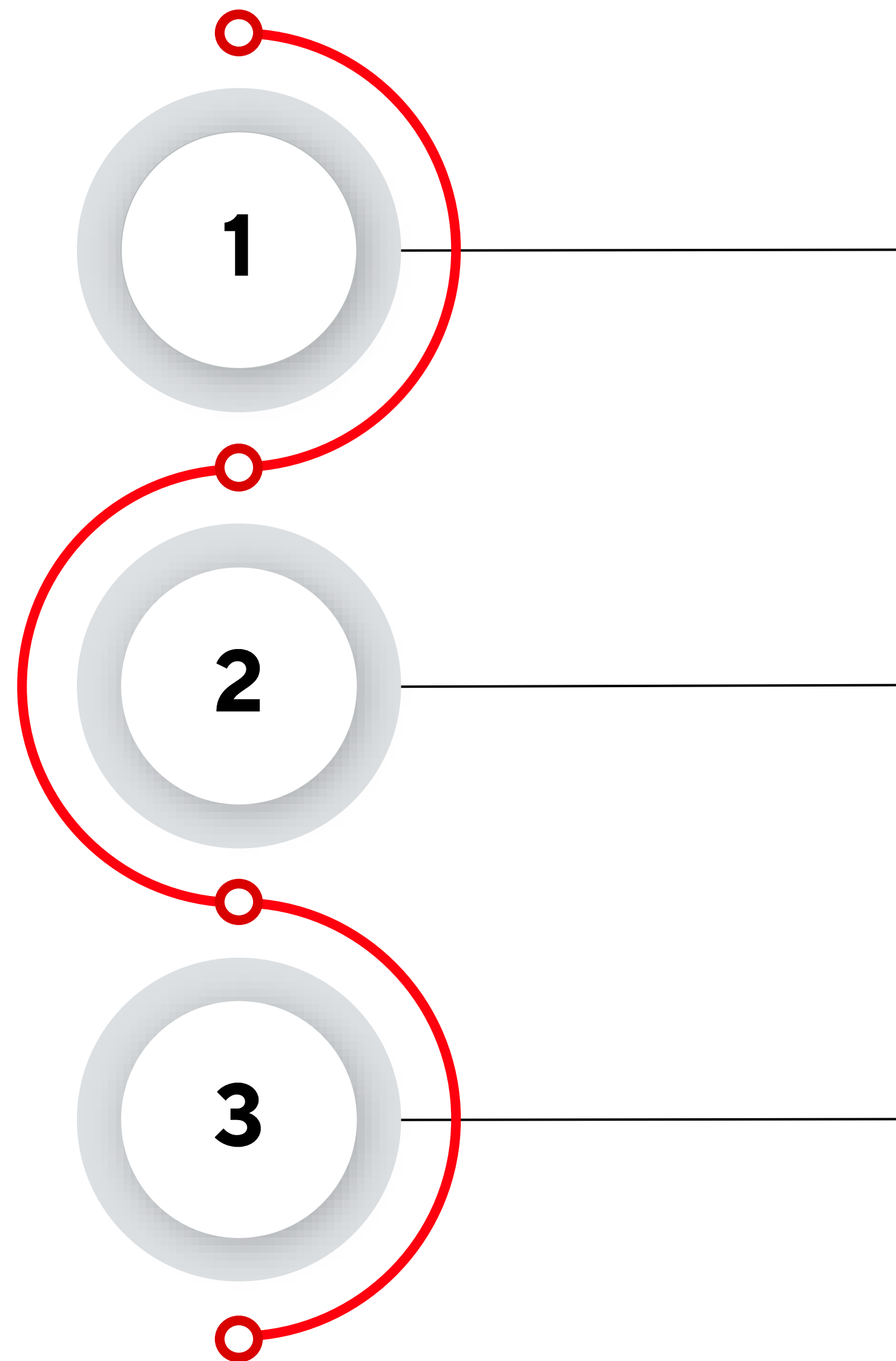
Status	2024	2025				2026				2027				Discounted Risk
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	
	Audit Settled							Audit Freeze Ends					S/4HANA Deadline	
On Hold Migration led by EY		S/4HANA Migration and Contract Negotiation Support including Harmonisation												\$3.8M + Unknown potential optimization
Not actioned		Indirect / Digital Access Assessment												Risk Unknown – will be in next Audit
Not Actioned – Engine risk is the same		Manual Engine Verification for all engines												\$19.8M Incl HANA Database
Internally managed – User Risk is the same				SAP User Profiling		Optimisation			SAP User Profiling Refresh					\$3.5M + \$25M OpenText Risk

Projects:

- **S/4HANA Migration & Contract Negotiation Support** including Harmonisation to minimise over-spend in the new S/4HANA Agreement that cannot be adjusted for 5 years after signing.
- **Indirect / Digital Access Assessment** is required to determine the compliance position and remediate before the next Audit where this will be a topic.
- **Manual Engine Verification** will validate the current over-consumption, and to identify any potential shelfware that can be used for S/4HANA negotiations
- **User Profiling** is to determine whether it is more beneficial to maintain the Blended User model, or to transition to the Standard SAP User Model in the S/4HANA Agreement.

Next Steps:

A mandatory foundation for a successful S/4HANA migration is to complete this before go-live—otherwise you risk carrying compliance gaps and inaccurate usage data into the new landscape.



Optimise SAP License Estate & Confirm Engine Position

Terminate/harvest shelfware and manually validate the 11 over-deployed engines (detailed usage extracts) to confirm whether USMM reflects real consumption and identify optimisation actions. Also consider that the 9 incorrectly measured production systems may contain additional engine usage, which could increase exposure once corrected.

Establish Indirect Access Position & Close Data Gaps

Run a focused SAP Indirect Access Assessment and remediate missing/uncertain usage data to build an audit-defensible baseline and improve S/4HANA readiness. In parallel, reconcile and update SAP for Me landscape scope vs. what was actually measured so coverage is complete and consistent..

Perform SAP User Profiling

Execute a dedicated SAP User Profiling Project to clean up user master data, correct license-relevant classification (incl. Developer/Platform alignment), and address usage-principle exceptions (multiple logons, technical/obsolete users, non-developer development activity).



How are we doing?

Scan the QR code or click the link below to take a 3-minute survey to share feedback on your experience.

Insert Individual Survey Link Here



—
Thank You!

— Recommendations

Risk Mitigation Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL QUANTIFIED COST AVOIDANCE	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY	GRC RECORD
SAP Employee Based Frame Agreement 4530 ABB Special Blended User - 70% 1942 ABB Special Employee User - 30% 557 ABB Special BusinessObjects Expert Upgrade User - 15%	Negotiate with SAP move to standard user classification. This must be preceded with SAP User Profiling Project.	\$2.6M net price + \$450K annual maintenance	Fabio Maryia	Q3 2024	SAP audit negotiation with SAP in 2024 confirm that Employee Based Frame Agreement is in to ABB disadvantage: no price protection, developer& consultant activities excluded	2027- 2030 (migration deadline) or earlier	1	
SAP Developer User 417 Developer licenses overused. Developer licenses were not formally sold to ABB; 68 were inherited through a business acquisition. ABB assumed the 2011 agreement covered Developer roles, but there's no explicit contractual support. SAP now formally requires all users engaged in development to be classified as Developers. While SAP tolerated technical issues in measuring Developer users, current USMM data shows most systems contain Developer activity—some linked to non-Developer users.	Verify measured Developers from classification, activity and administration viewpoint. Use SAP Developer Note to review non-Developer users captured by the SAP USMM program measurement as those who perform development activities.	\$360K net price + \$61K annual maintenance	Fabio	Q3 2024	Technical issue in USMM and LAW that was preventing measurement of Developer Users was fixed, resulting in high measured data.	June-2026	1	



Risk Mitigation Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL QUANTIFIED COST AVOIDANCE	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY	GRC RECORD
SAP Enterprise Master Data Management Engine overused by 2,576,293 Master Data Objects as per USMM/LAW measurement. Measured in CM5 - only IDs 8180 & 8183 counted. ID 8182 already counted for individual license ID 8182	- Verify SAP Notes implementation to set the base for the correct measurement. - Perform engine manual verification to validate measured data.	\$9.1M net price + \$1.6M annual maintenance	Fabio	Q3 2025	Engine not measured in ELP 2024, measured in ELP 2025	June - 2026	1	
SAP NetWeaver Single Sign-On No license entitlement available on SAP paper USMM/LAW measured 12,397 Users	- Verify SAP Notes implementation to set the base for the correct measurement. - Perform engine manual verification to validate measured data.	\$1.9M net price + \$323.7K annual maintenance	Fabio	Q3 2024	No measurement in the ELP in 2023. ELP 2024 measurement non-compliance based on 4627 Users, in ELP 2025 non-compliance based on 15,955	June - 2026	1	
SAP Master Data Governance for SAP S/4HANA, suppliers option Engine overused by 891,679 Master Data Objects as per USMM/LAW measurement.	- Verify why MDG is still measured in MG5 system. - Verify SAP Notes implementation to set the base for the correct measurement in CM5 system	\$2.5M net price+ \$431.5K annual maintenance	Fabio	Q3 2024	Measured: CM5 809.196, MG5: 282.483. Confirmation from ABB: MGD migrated from the system MG5 to CM5 (in RISE), year before last year. MDG is used in the CM5 - basis team was implementing 13 SAP notes last year. TBD - why MDG is still measured in MG5.	June - 2026	1	



Risk Mitigation Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL QUANTIFIED COST AVOIDANCE	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY	GRC RECORD
SAP NetWeaver Gateway No license entitlement available on SAP paper USMM/LAW measured 18,287 Gateway Users per Year	Check if chargeable scenarios is used: access through SAP Gateway / SAP Fiori also for employees that have no SAP end user license so far.	\$762.6K net price + \$132.8K annual maintenance	Fabio	Q3 2024	ELP 2024 measurement non-compliance based on 26.669 Gateway Users per Year, ELP 2025 non-compliance for 36,111 Gateway Users per Year,	June-2026	1	
SAP S/4HANA Finance for Group Reporting No license entitlement available on SAP paper USMM/LAW measured 677 active consolidation units in the customer OP system (this has been done for Cloud Edition)	Measured in CF5, to be verified as exception is the public-cloud edition, where the base subscription lets you consolidate a handful of entities (currently up to five) at no extra charge—anything beyond that still needs its own Group Reporting license.	\$908.2K net price + \$158.1K annual maintenance	Fabio	Q3 2025	ELP 2025 non-compliance based on 134 active consolidation units	June-2026	1	
SAP GRC Process Control Engine overused by 643 GRC Users	- To be checked as measured in various systems. - Verify SAP Notes implementation to set the base for the correct measurement. - Perform engine manual verification to validate measured data.	\$417.4K net price+ \$71K annual maintenance	Fabio	Q3 2025	ELP 2024 measurement non-compliance based on 58 GRC Users, no data provided in ELP 2025	June-2026	1	

Risk Mitigation Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL QUANTIFIED COST AVOIDANCE	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLU TION	PRIOR ITY	GRC RECO RD
User Inventor Integration No license entitlement available on SAP paper USMM/LAW measured 16 Users	- Verify SAP Notes implementation to set the base for the correct measurement. - Perform engine manual verification to validate measured data	\$5.9K net price + \$1K annual maintenance	Fabio	Q3 2025	No measurement in the previous ELP 2024, non-compliance based on 16 users in ELP 2025. Measured in the systems DE3	June -2026	2	
SAP PLM Interface to Pro/E & SolidWorks Pro/E overused by 13 Uses and Solidworks overused by 22 Users as per USMM/LAW measurement.	- Verify SAP Notes implementation to set the base for the correct measurement. - Perform engine manual verification to validate measured data	\$10.1K net price+ \$1.7K annual maintenance	Fabio	Q3 2024	ELP 2024 overused was based on 4 users Pro/E & 122 Solidworks. ELP 2025 overused was based on 1 Pro/E user and 1 Soldworks user	June-2026	2	

Risk Mitigation Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL QUANTIFIED COST AVOIDANCE	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY	GRC RECORD
SAP HANA Enterprise Edition Data base Database overused by 26,329 GB of memory as per SAP HANA Studio measurement	Verify whether HANA Enterprise measurements were taken in error for systems actually using Runtime.	\$1.1M net price + \$184.1K annual maintenance	T Fabio	Q3 2024	ELP 2024 captured 3,466 GB of memory based on 4 production HANA servers. ELP 2025 captured 23,000 from 13 systems. Current data was provided from 11 HANA production systems.	June-2026	1	
SAP Signavio Process Insights, additional storage Product overused by 118 GB Memory as per SAP for Me dashboard data	Verify correctness of measured data	\$44.9K net price annually	Fabio	Q1 2026	Not measured before	June-2026	2	
SAP Cloud ERP Private, pto Product overused by 9,514 FUEs as per SAP for Me dashboard data	- Verify correctness of measured data. - Check FUEs mapping	\$3M net price annually	Fabio	Q3 2025	ELP 2024 no consumption data, ELP 2025 non-compliance based on 8,156 FUEs	June-2026	2	

Risk Mitigation Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL QUANTIFIED COST AVOIDANCE	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLU TION	PRIOR ITY	GRC RECO RD
SAP Signavio Process Intelligence Product overused by 4,504,576 Records as per SAP for Me dashboard data	Verify correctness of measured data	\$30.5K net price annually	Fabio	Q1 2026	No over deployment in ELP 2024 and 2025	June-2026	2	
SAP CPQ, standard edition Product overused by 273 Users as per SAP for Me dashboard data	Verify correctness of measured data	\$95.1K net price annually	Fabio	Q1 2026	Not measured before	June-2026	2	
SAP Finance and Supply Chain developer Product overused by 41 Active Users as per SAP for Me dashboard data	Verify correctness of measured data.	\$20K net price annually	Fabio	Q1 2026	Not measured before	June-2026	2	
SAP S/4HANA Cloud for master data governance Cloud, private edition Product overused by 2,319,934 Objects as per SAP for Me dashboard data.	Verify correctness of measured data.	\$602.5K net price annually	T Fabio	Q3 2025	ELP 2024 no consumption data, ELP 2025 non- compliance based on 2,280,475 Objects	June-2026	2	

Cost Savings Actions

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	POTENTIAL COST SAVINGS	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY
<u>Termination of unused SAP software (shelfware)</u> \$1.7M shelfware value identified as not in used entirely. \$2.5M shelfware value identified as not in used partially – a licensing buffer from 15% to 20 % was added to the license in case of the grow of the application.	Negotiate with SAP, termination of shelfware to reduce annual maintenance fee.	\$297.3K annually for products confirmed as not in use entirety	TBD	Q1 2026	-	TBD	High
<u>Verification of the usage of over deployed SAP Engines, SAP HANA Database and SAP Developers. Purchasing not verified over deployed products will lead to the annual maintenance fee of 17%+ for these licenses:</u> \$61.1K of annual maintenance fee from the SAP Developer Users. \$2.7M of annual maintenance fee from the SAP Engines. \$184K of annual maintenance fee from the SAP HANA Database.	- Perform manual SAP Engine verification to confirm correctness of the measurement. - Verify SAP Developer classification. - Verify if 11 servers measured for SAP HANA Enterprise are used by SAP HANA Runtime.	\$2.9M annually	TBD	Q1 2026	-	TBD	High

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY
SAP Named Users processes SAP processes in relation to the administration of the SAP Named User are not being followed.	Despite the special agreement between SAP and ABB regarding the usage of SAP Named Users based on the annual report declaration of the total number of employees, Anglepoint recommends following SAP processes with regards to User management: - Inactive users should be locked with validity dates set in the past. - Every User should be assigned a classification (non-classified users are categorized as Professional automatically). - User consolidation criteria i.e., email address, ID, of the same users performing activities on multiple systems should be universally consistent. This is for the LAW tool to identify the same users and count them only once as per the SAP user hierarchy.	ABB	Q3 2021	Q3 2025 Confirmed by ABB start of the clean up. Current data do not show any results of the clean up.	June- 2026	1

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY
SAP Digital Access - SAP Digital Access was not requested by SAP in the SAP License Audit. However, it is important to note that some systems measured SAP Digital Access automatically with the USMM program measurement (details below), which could trigger SAP Digital Access to be added to the next SAP License Audit request. - Measurement of the SAP Digital Access is only relevant from the ECC production systems. 6 Production systems with Digital Access were measured automatically within USMM measurements which is higher than the industry benchmark, however, it represents 36% of known ABB Digital Access Systems. - As only systems with specific (high) releases (version) can automatically measure SAP Digital Access, the rest of the ECC production systems should measure indirect access with the SAP Note. Measuring indirect access with the SAP Note is often not accurate and requires further verifications with the SAP Basis Teams. - Potential Usage - identified based on 8 Systems in USMM. Note that the usage will increase when all ECC production systems will be measured.	- Assess SAP Indirect Access usage. It is critical before migrating to SAP S/4HANA due to potential licensing, compliance, and financial risks. SAP's Indirect Access policy covers the use of data within SAP systems by third-party applications or systems without direct user logins. - Be compliant with SAP's Licensing Terms. - Transition to the Digital Access model based on actual and verified usage.	ABB	Q3 2021	No recent update as of Q3 2021.	Q3 2026	1

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY
<u>SAP Engine Over-Deployment</u> 11 engines are over-deployed, and 9 are the same as flagged in ELP 2025, indicating the risk profile is largely unchanged year over year. - SAP Notes were implemented as per Fabio’s feedback, but overuse still appears in measurement—meaning Notes alone do not confirm true consumption. - Several products show missing or incomplete consumption evidence (measured vs self-declared gaps), limiting audit defensibility. 9 production systems were measured incorrectly, so actual engine usage may be understated and could increase exposure once corrected.	- Launch a Manual Engine Verification project to validate over-deployed engines using detailed usage extracts (engine function modules / evidence reports) and confirm whether measured usage reflects real consumption. - Re-measure and correct the 9 incorrectly measured production systems and re-run consolidation to confirm the final position. - Establish engine governance (ownership, periodic checks, evidence retention, and change control) to prevent recurring overuse and reduce dependency on annual remediation. - Use verification outputs to drive optimization actions (retire unused components, adjust configuration, align entitlements, and eliminate shelfware). Note, all above steps are necessary prior to the migration to the SAP S/4HANA	ABB	Q3 2021	Dec 2025: ABB feedback: Engine SAP Notes implemented	June 2026	1

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	OWNER	RAISED	LATEST UPDATE	TARGET DATE FOR RESOLUTION	PRIORITY
<u>SAP Cloud products</u> - Cloud usage visibility is incomplete, because consumption for a large set of products is not available automatically in SAP for Me and requires manual validation. - The current Cloud position is therefore based on contract entitlement plus partial usage evidence, which limits audit defensibility and makes it harder to confirm true over/under deployment. - Contract coverage and repository alignment (what is purchased vs what is visible/consumed) needs tightening to avoid missed renewals, duplicate subscriptions, or unused services.	- Run a structured manual usage validation to confirm actual consumption for all cloud subscriptions and create a defensible usage baseline. - Perform a cloud contract verification exercise: reconcile purchase documents, current active subscriptions, billing, and tenant usage to ensure the repository is complete and accurate. - Establish ongoing cloud governance (owner per product, renewal calendar, usage thresholds, and quarterly true-up) to prevent recurring data gaps and reduce shelfware. - Use validated usage outputs to drive optimization actions (right-size subscriptions, retire unused products, and standardize licensing models/metrics where possible).	ABB	Q1 2026	N/A	June 2026	2

— Appendix

APPENDIX

2026 CALENDAR OF EVENTS

RISK REMEDIATION PROCESS

BUILDING BLOCKS OF ABB'S SAM PROGRAM

DEFINITIONS

NOTABLE CONTRACT TERMS & EVENTS

ABOUT ANGLEPOINT

2026 Calendar of Events

Latest view can be found [here](#).

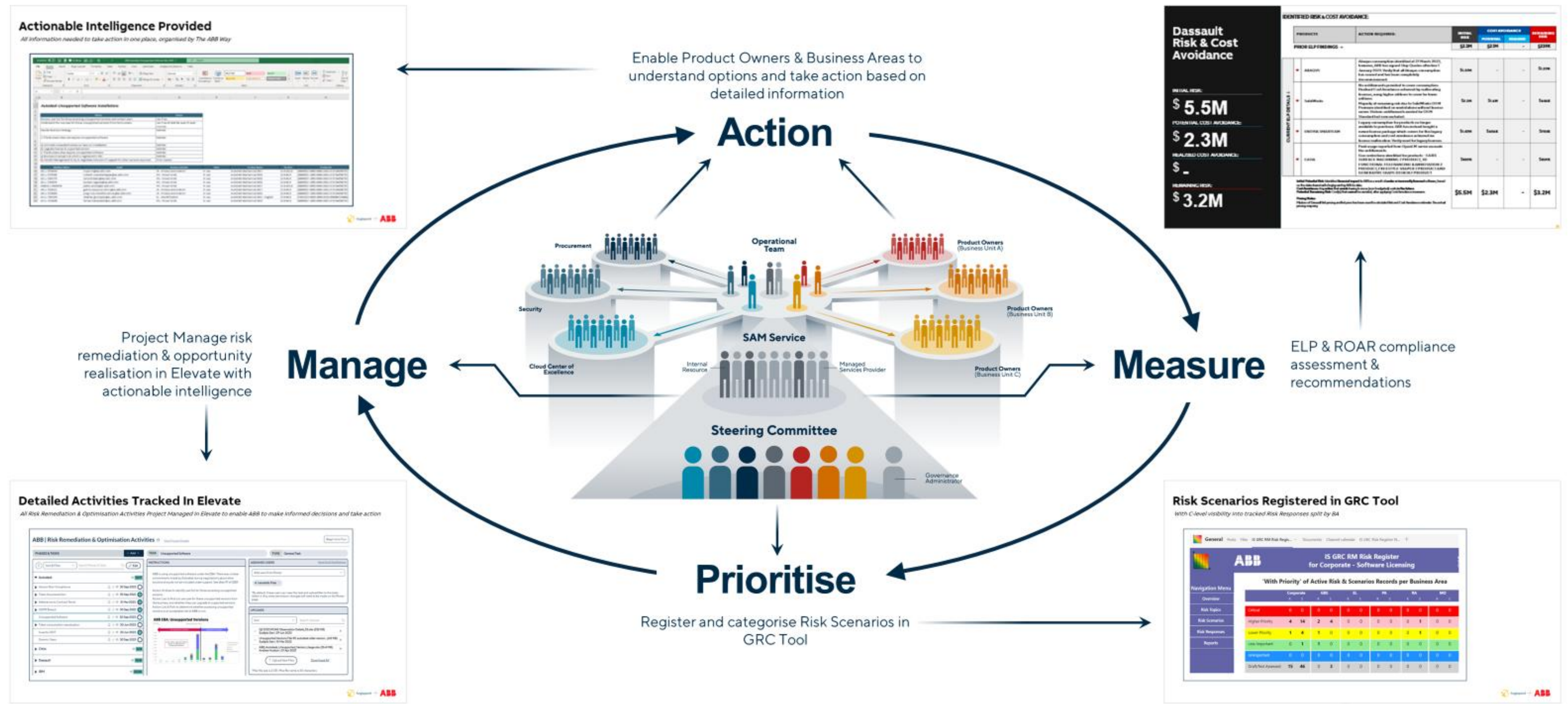
ABB 2026 Calendar of Events

As at 20251231

	2026					
	Jan	Feb	Mar	Apr	May	Jun
Flexera One						ROAR
Oracle		Data Collection	ELP & ROAR		Action Tracking	
VMware			Data Collection	ELP & ROAR		Action Tracking
Microsoft	Data Collection	ELP & ROAR	Action Tracking			
Salesforce						
OpenText				Data Collection	ELP & ROAR	Action Tracking
Autodesk	Action Tracking			Data Collection	ELP & ROAR	Action Tracking
Dassault	Action tracking			Data Collection	ELP & ROAR	Action Tracking
Unauthorized Software	Report	Report	Report	Report	ROAR	Action Tracking
SAP				Data Collection		ELP & ROAR
IBM	ELP & ROAR			Data Collection	ELP & ROAR	
Adobe						

Risk Mitigation Process

What happens in between the ROARs is most important



Definitions: ELP & ROAR



Effective License Position:

A review and comparison of an organisation's software entitlements against the corresponding consumption, taking into account an organisation's software contracts and associated documentation. The ELP indicates a current compliance position *at a particular point in time*.



Risk & Opportunity Assessment Report:

1

Identify **risks** associated with incorrect license deployment or poor / unmanaged software deployment controls.

2

Identify areas of license compliance concern including **opportunities for optimization**, to reduce license consumption.

3

Gain better value from software contracts through improved license deployment and allocation.

Definitions: Risk, Avoidance & Savings



Risk:

Identified financial impact to ABB as a result of under or incorrectly licensed software, based on the data shared with Anglepoint by ABB to date.

Highlights necessity of immediate actions/additional spend liability.

Remaining risk refers to all cost(s) that cannot be avoided.



Cost Avoidance:

Any action that avoids having to incur (non-budgeted) costs in the future.

Cost Avoidance measures are never reflected in the financial statements or next year's budget. They will only be reflected in situations where the proposed action is not implemented, resulting in a cost increase.



Cost Savings:

Any action that results in a tangible financial benefit that lowers current spending, investment or debt levels.

Cost savings measures are reflected in the financial statements and next year's budget.



Anglepoint is the leading provider of ITAM & cloud managed services to the Forbes Global 2000.

Our Services eliminate cloud, software, & IT waste with actionable insights that drive agile forecasting within the world's largest & most complex hybrid IT environments.

We Deliver comprehensive managed services to assess, design, transform, & operate world-class programs that follow the industry standard, ISO 19770-1.



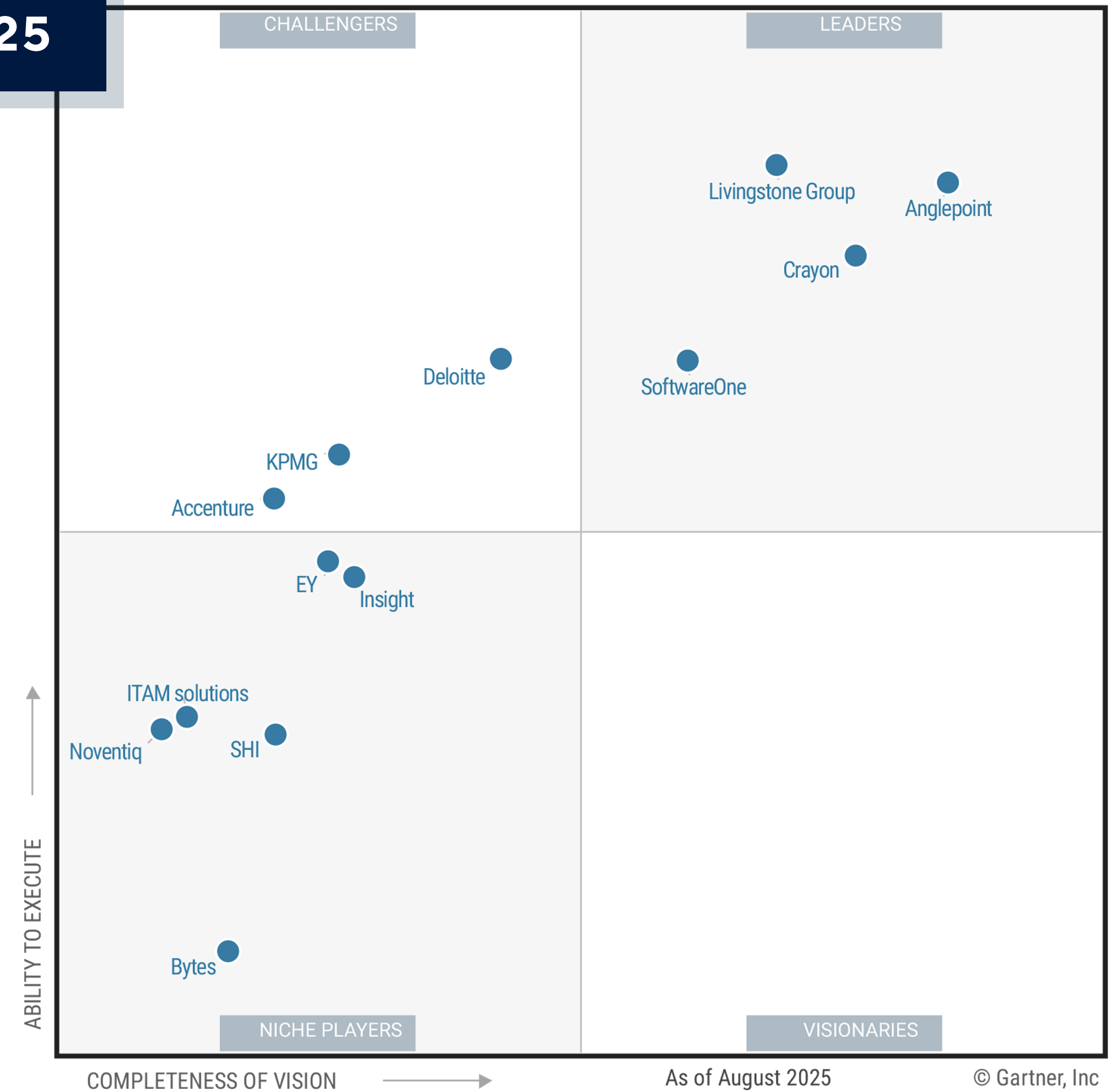
Recognized Global Leader in SAM Managed Services

For 6 years Gartner® has named Anglepoint a Leader in SAM Managed Services, reflecting our clients' success and trust.

Gartner®

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2025



Recognized for Consistent Leadership

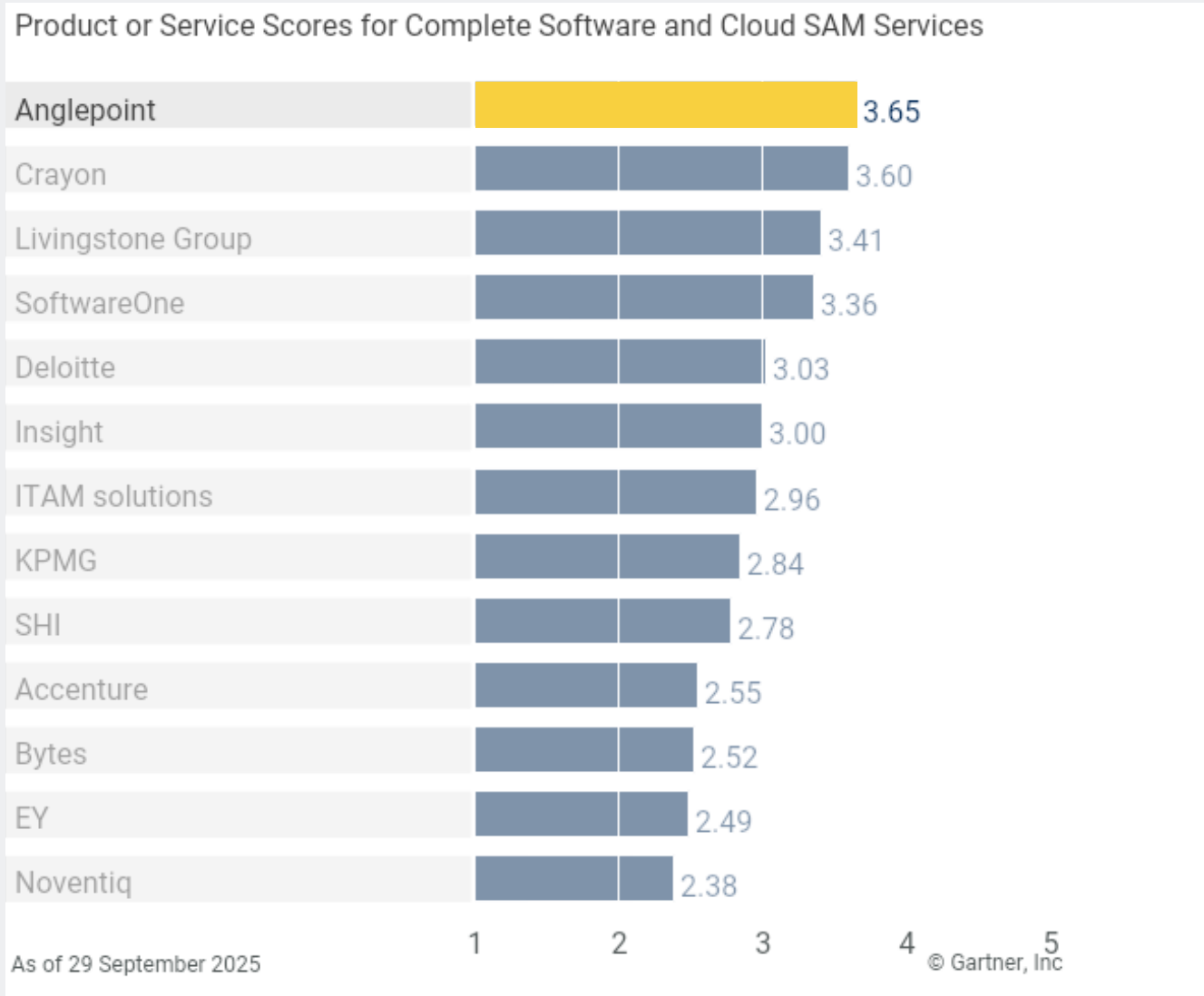
For six consecutive years, Anglepoint has ranked first in all three use cases among 13 profiled providers in Gartner’s Critical Capabilities for SAM Managed Services report.

RANKED

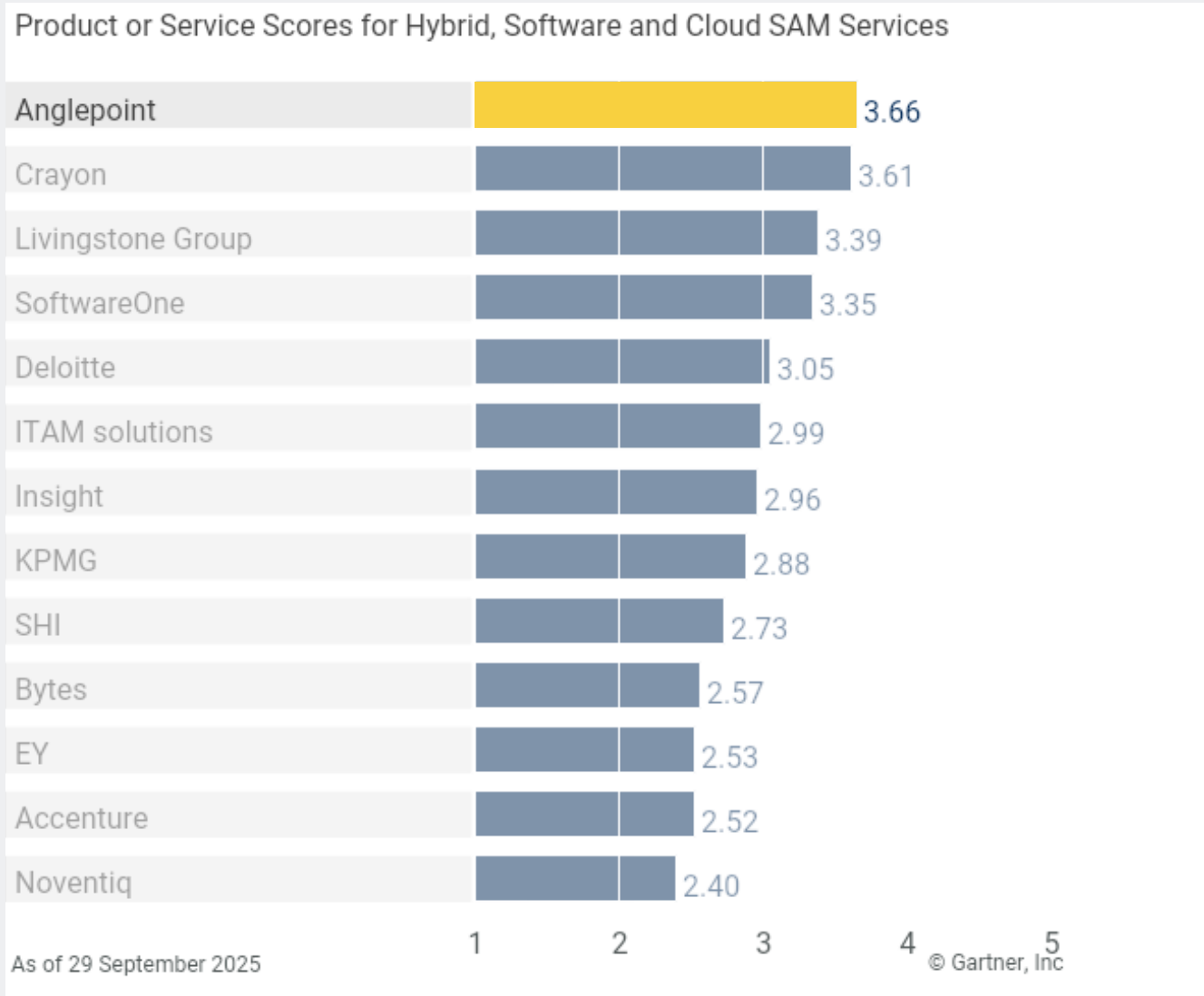
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IN EVERY USE CASE

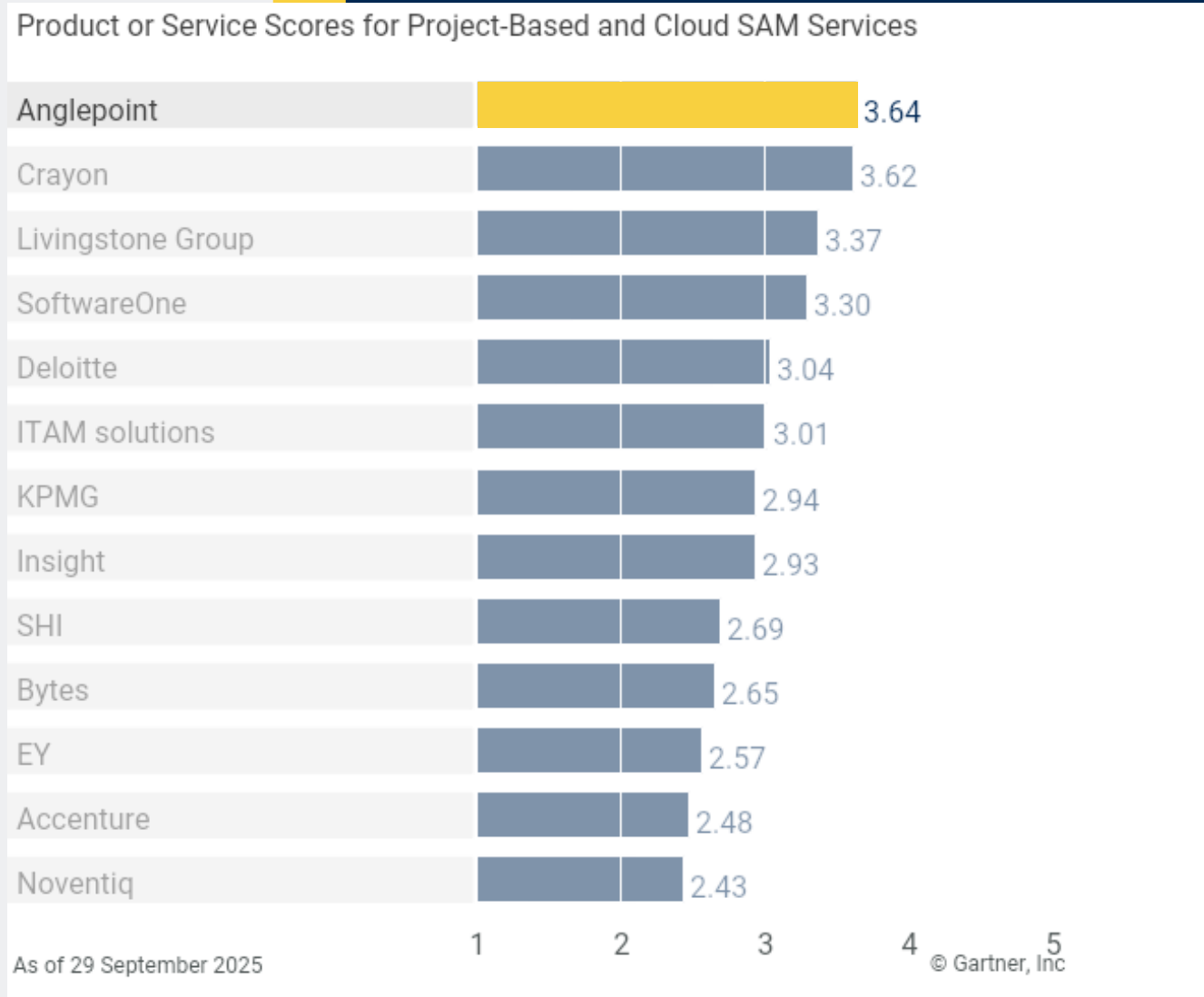
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2



3



Gartner, Critical Capabilities for Software Asset Management Managed Services, Rob Schafer, Yolanda Harris, Jaswant Kalay, Charity Hooper, 6 October 2025, G00824336. This graphic was published by Gartner, Inc. as part of a larger research document and should be evaluated in the context of the entire document. The Gartner document is available upon request from Anglepoint at www.anglepoint.com/cc. Gartner does not endorse any vendor, product or service depicted in its research publications and does not advise technology users to select only those vendors with the highest ratings or other designation. Gartner research publications consist of the opinions of Gartner’s research organization and should not be construed as statements of fact. Gartner disclaims all warranties, expressed or implied, with respect to this research, including any warranties of merchantability or fitness for a particular purpose. GARTNER and Critical Capabilities are registered trademark and service mark of Gartner, Inc. and/or its affiliates in the U.S. and internationally and is used herein with permission. All rights reserved.

Service Practice Areas

Intentionally organized for comprehensive, yet modular managed services

Program Transformation

- ISO management system transformation
- governance diagnostic & rehab
- process design & implementation
- workflow automation
- policy, control, & KPI development
- maturity assessment & 19770-1 cert. readiness

ITAM Tooling

- requirements & use case assessment
- technical capabilities verification
- selection & RFP support
- implementation & integration
- configuration & publisher onboarding
- health check & remediation
- run & maintain

License Management

- Effective License Position (ELP)
- Risk & Opportunity Assessment Report (ROAR)
- CO₂e cost of IT analysis & reporting
- audit support
- cracked key analysis
- negotiation support
- renewals management
- agreement consolidation & terms development
- post-merger contract novation

Managed Services

- modular services components from all other practice areas
- program & data governance administration
- remediation management
- entitlement & use rights management
- license management
- license service desk
- cracked key analysis & management
- program transformation
- tooling run & maintain
- cloud consumption metering

Cloud FinOps

- FinOps Certified Practitioner training
- multi-platform assessment (Azure, AWS, GCP)
- cloud rightsizing
- pricing optimization
- resource usage/ consumption monitoring & reporting
- cloud resource tagging audit
- FinOps governance workshop & organizational alignment

IT Sustainability

- IT sustainability education
- IT sustainability strategy & roadmap
- GHG emissions measurement and reporting in IT
- GHG reduction opportunity identification & implementation
- sustainable IT operations

Anglepoint Academy

- authorized training for IAITAM certifications
- SAM 101 & 102
- publisher-specific licensing training
- Anglepoint audit response framework
- understanding licensing terms
- tool admin training